Casa de Bolsa
Interacciones

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Bimbo 3Q15 Quick View: Better than expected margins

HOLD, Target Price: MXN $44

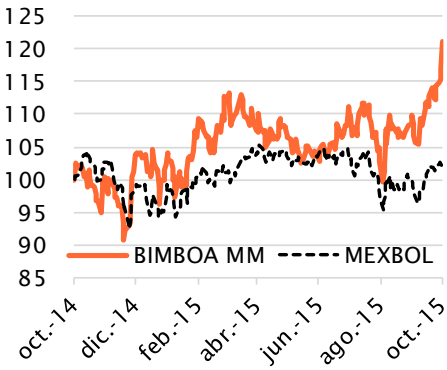
October 22nd, 2015

BIMBO
BIMBOA MM

Price (MXN, as of 10/22/2015)	P$47.55
HOLD	
Target Price	P$44.00
Stock Price Return	-7.5%
Dividend Yield	0.4%
Expected Total Return	-7.1%
Market Cap (MXN mn)	223,637
Shares Outstanding (mn)	4,703.2
Free Float	39%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	6

Source: Interacciones and the company

BIMBOA MM vs MEXBOL



Source: Bloomberg

Bimbo's third quarter results reflect improvements in sales, but most importantly, in margins. The Company's growth story is composed by better organic trends in Mexico and Latam, while the company advanced inorganically in North America and Europe. We believe that these results would have a positive impact in the stock price in the short term.

Revenue is divided into regions (Mexico, North America, Latin America and Europe) that reported the following increases 5.7%, 22.7%, 7.8% and 3.8%. Consolidated Net Sales rose 13.7%. Mexico's sales were driven by a volume growth, North America was aided by exchange rates, pricing, past acquisitions and a slight volume growth; Latin America's net sales growth was organic for some countries, because of the Supan acquisition in Ecuador and positive FX effects. Finally, Europe benefited from the Canada Bread operation in the UK.

Speaking of margins: Consolidated gross margin was 54.2% compared to a 53.1% in 3Q14. EBITDA margin was 11.6%, a 0.5% positive variation YoY. Finally, net Majority margin was 4% this quarter, a 60 bps change from 3Q14's 3.4% margin.

Financial expenses: the company's financial structure was affected by a 16% revaluation of US dollar denominated debt. The company has been paying debt because of a de levering plan; its Total Debt / EBITDA ratio is 3.1x in comparison to last year's ratio of 3.2x.

Going forward, we believe that Bimbo has some room to enhance its efficiency and benefit the bottom line, especially because we believe that the acquisition spree will slow down until the Total Debt to EBITDA ratio will come down to 2x during the next 18 months, limiting the company's use of leverage in the short term. If the consumption pace across Bimbo's regions continues to be strong, we would expect the company's results to strengthen.

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Target Price History

BIMBOA: Historic Target Price(s) & Recommendation(s)			
Date of change	18-jul-14	18-sep-14	13-oct-15
Target Price	**P$44.00**	**P$44.00**	**P$44.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*

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Additional information available upon request.

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